CASCADIA ANALYTICS

Lam Research Corporation

Equity Research Note | LRCX | 21 OCTOBER 2026

Etch Dominance

Lam Research Corp screens as a Hold, Valuation Concerns with a $152.08 blended target, 42% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$263.45	$152.08	-42%	HOLD, VALUATION CONCERNS

Investment Thesis

Etch Dominance. Lam is the undisputed leader in memory etch for 3D NAND (300+ layers). Gross margin of 51.7% [10-Q Q4 FY26] and operating margin of 37.4% reflect pricing power. AI Capex Tailwind. WFE raised to $150B for 2026 [8-K guid]. Advanced packaging growing 50%+ YoY. Lam expects a third straight year of beating WFE growth. Price Defies Math. At $263.45 [Mkt 16-Oct-26], the market implies 33.7% revenue CAGR for six years. Our $153.04 base case implies 42% downside. Great company, untenable price.

- Etch Dominance
- AI Capex Tailwind
- Price Defies Math

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The latest print

AI Capex Tailwind. WFE raised to $150B for 2026. Advanced packaging growing 50%+ YoY. Lam expects a third straight year of beating WFE growth.

Price Defies Math. At $263.45, the market implies 33.7% revenue CAGR for six years. Our $153.04 base case implies 42% downside. Great company, untenable price.

$6.72B	51.7%	37.4%	$1.82	$2.47B	$5.58B
REVENUE (Q4 FY26)	GROSS MARGIN	OPERATING MARGIN	EPS (NON-GAAP)	CSBG REVENUE	CASH

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q4 FY26)	$6.72B	+30.0%	Up
Gross Margin	51.7%	+1.9 pts	Up
Operating Margin	37.4%	+3.7 pts	Up
EPS (non-GAAP)	$1.82	Beat by 7.7%	Up
CSBG Revenue	$2.47B	+17% QoQ	Up
Cash	$5.58B	n/a	Flat
Net Cash	$1.46B	n/a	Up

The moat

Advanced packaging revenue growing 50%+ YoY on HBM and 2.5D/3D logic

The growth engine

Memory systems: NAND revenues doubled sequentially on 256+ layer migration

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	$34.13B	39.0%	**$116.63**	-56%
Base	50%	13.5%	$43.76B	41.5%	**$153.04**	-42%
Bull	25%	17.0%	$50.93B	44.0%	**$185.63**	-30%

Bear: downside case at $116.63 (-56%).

Base: central case at $153.04 (-42%).

Bull: upside case at $185.63 (-30%).

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The probability-blended target implies 42% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -42% from the $263.45 reference price.

$152.08
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2025E)	**$23.23B**
Valuation horizon	**2026-2031**
Live WACC	**10.63%**
WACC path (Year 1 to final year)	**10.63% to 9.53%**
Terminal growth	**3.5%**
Net cash	**$1.46B**
2031 FCF (Base)	**$15.14B**
10-year Treasury yield	**5.1%**
Beta	**1.50**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $152.08 BLENDED TARGET | WEN

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The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 33.7%. at/above Bull (17%) , euphoric

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$62.3B	$51.02	+10%	$139.3B	$112.61	**+30%**	**$291.6B**	**$234.42**
-9%	$64.9B	$53.12	+11%	$144.8B	$117.01			
-8%	$67.7B	$55.30	+12%	$150.5B	$121.56			
-7%	$70.5B	$57.57	+13%	$156.4B	$126.26			
-6%	$73.5B	$59.93	+14%	$162.5B	$131.13			
-5%	$76.5B	$62.38	+15%	$168.7B	$136.16			
-4%	$79.7B	$64.94	+16%	$175.2B	$141.36			
-3%	$83.0B	$67.59	+17%	$182.0B	$146.73			
-2%	$86.5B	$70.34	+18%	$188.9B	$152.28			
-1%	$90.0B	$73.20	+19%	$196.1B	$158.01			
+0%	$93.8B	$76.17	+20%	$203.5B	$163.93			
+1%	$97.6B	$79.25	+21%	$211.1B	$170.04			
+2%	$101.6B	$82.45	+22%	$219.0B	$176.35			
+3%	$105.7B	$85.77	+23%	$227.1B	$182.85			
+4%	$110.0B	$89.20	+24%	$235.5B	$189.56			
+5%	$114.5B	$92.77	+25%	$244.1B	$196.48			
+6%	$119.1B	$96.46	+26%	$253.1B	$203.62			
+7%	$123.9B	$100.29	+27%	$262.3B	$210.98			
+8%	$128.9B	$104.26	+28%	$271.7B	$218.56			
+9%	$134.0B	$108.36	+29%	$281.5B	$226.37			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

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SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$144.33B	—	3.5%	$1.46B	$145.79B	**$116.63**
Base	$189.84B	—	3.5%	$1.46B	$191.30B	**$153.04**
Bull	$230.58B	—	3.5%	$1.46B	$232.04B	**$185.63**

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030	2031
Bear	$128.73	$128.73	$136.43	$144.29	$152.30	$160.42	$168.57
Base	$168.90	$168.90	$180.87	$193.02	$205.22	$217.27	$228.93
Bull	$204.86	$204.86	$220.67	$236.74	$252.81	$268.56	$283.52

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $152.08 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Advanced packaging revenue growing 50%+ YoY on HBM and 2.5D/3D logic

Memory systems: NAND revenues doubled sequentially on 256+ layer migration

CSBG at $2.1B quarterly run rate, margin-accretive recurring revenue

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	FY26
Revenue	$17.4B	$17.4B	$14.9B	$18.4B	$23.2B
Gross Margin	46.1%	45.7%	47.5%	48.9%	51.7%
Operating Margin	30.2%	29.1%	27.8%	31.5%	37.4%

Valuation cross-check

P/E (fwd) 22.4x

DCF Base $153.04

FCF Yield ~3.5%

DCF math implies 42% downside even with generous growth assumptions.

AMAT 20x P/E

KLAC 21x P/E

LRCX trades at a premium to equipment peers without a commensurate ROIC edge.

Current multiples

near 5-year peaks

Trading at the top of its historical range, pricing in a permanent upcycle.

What to monitor

Oct 21, 2026. Q1 FY27 Earnings (Two-Sided): $8.31B revenue and $2.21 EPS consensus. Test of $8.1B guide.

2026-2027. Memory Capex (Positive): NAND layer scaling and HBM demand driving etch intensity.

Ongoing. WFE Cycle (Two-Sided): $150B WFE in 2026 is a peak; any slowdown hits bookings.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$14.6B	$6.8B	$4.5B	—
2022	$17.2B	$7.9B	$5.4B	—
2023	$17.4B	$7.8B	$5.2B	$5.6B
2024	$14.9B	$7.1B	$4.3B	$4.9B
2025	$18.4B	$9.0B	$5.9B	$6.5B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$15.9B	$9.9B	$6.0B	$4.4B
2022	$17.2B	$10.9B	$6.3B	$3.5B
2023	$18.8B	$10.6B	$8.2B	$5.3B
2024	$18.7B	$10.2B	$8.5B	$5.8B
2025	$21.3B	$11.5B	$9.9B	$6.4B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$3.6B	—	$-4.2B	—
2022	$3.1B	—	$-4.6B	—
2023	$5.2B	$-502M	$-2.8B	$4.7B
2024	$4.7B	$-397M	$-4.0B	$4.3B
2025	$6.2B	$-759M	$-4.9B	$5.4B

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Agency risk score 42 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.28% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $106.02M of sales, a net flow of -$106.02M. One-year total shareholder return is +86.5% against CEO total pay of $6.82M (Mr. Timothy M. Archer), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.28% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $106.02M (12), net -$106.02M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +86.5%; Mr. Timothy M. Archer, President, CEO & Director, total pay $6.82M
Agency Risk Score	**42 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-09	Archer Timothy M	Chief Executive Officer	SELL	30,000	$9.58M
2026-09-09	Mayer Bethany J	Director	SELL	9,557	$3.01M
2026-09-02	Varadarajan Seshasayee	Officer	SELL	59,750	$17.41M
2026-08-31	Harter Ava	Officer	SELL	5,000	$1.51M
2026-08-06	Archer Timothy M	Chief Executive Officer	SELL	30,000	$9.00M
2026-07-13	Talwalkar Abhijit Y	Director	SELL	18,282	$6.12M
2026-07-02	Archer Timothy M	Chief Executive Officer	SELL	30,000	$11.70M
2026-06-12	Brandt Eric K	Director	SELL	54,500	$20.01M

SEC proxy audit, DEF 14A filed 2026-09-24

Alignment grade B. COMPENSATION DATA NOT PROVIDED. Timothy M. Archer, fiscal 2026 vs fiscal 2025; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The provided proxy statement excerpt outlines governance highlights and plan structures, but omits the Summary Compensation Table figures. Key governance safeguards are in place, including capping market-based PRSU payouts at 100% of target if absolute TSR is negative and tying over 90% of annual incentives to operational and financial metrics. Quantitative pay-for-performance alignment cannot be definitively verified without the full compensation tables.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/707549/000070754926000047/lrcx-20260924.htm

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Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

WFE Cyclicality

WFE spending is cyclical; the $150B 2026 level may represent a peak, and any downturn would hit Lam's bookings hard.

Memory Concentration

Memory customers drive nearly half of systems revenue; a DRAM/NAND capex pause would disproportionately affect Lam.

China Export Controls

Export controls on advanced logic and memory tools for China restrict a meaningful end market.

The strengths

Operating Quality

Etch monopoly with 51.7% gross margins and 37.4% operating margins. Wide moat, net-cash balance sheet, best-in-class execution.

Recent Trend

Record Q4: revenue up 30% YoY, margins expanding 370 bps, EPS beat by 7.7%. Guiding to $8.1B next quarter. Accelerating.

Forward Growth

WFE at $150B, memory supercycle, advanced packaging at 50%+ growth. Third straight year of outperforming WFE. Drivers are visible.

Valuation

Market prices in 33.7% revenue CAGR, nearly double our 17% bull case. DCF base of $153.04 implies 42% downside. Euphoric.

Cascadia scorecard

Composite score 68: Attractive. Confidence High, as of 16-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Etch monopoly with 51.7% gross margins and 37.4% operating margins. Wide moat, net-cash balance sheet, best-in-class execution.	85
Recent Trend	Record Q4: revenue up 30% YoY, margins expanding 370 bps, EPS beat by 7.7%. Guiding to $8.1B next quarter. Accelerating.	88
Forward Growth	WFE at $150B, memory supercycle, advanced packaging at 50%+ growth. Third straight year of outperforming WFE. Drivers are visible.	85
Valuation	Market prices in 33.7% revenue CAGR, nearly double our 17% bull case. DCF base of $153.04 implies 42% downside. Euphoric.	28
Catalysts & Risk	Earnings in 5 days are the near-term test. WFE tailwinds are real, but cyclical equipment at peak multiples is fragile. Balanced with downside skew.	60

Investment view

A 30%+ pullback toward our $153.04 base case would neutralize the Valuation drag and likely lift the composite into the high-70s. Conversely, a WFE downturn or Q1 FY27 miss on Oct 21 would cut Forward Growth and Trend simultaneously.

Investment view: Hold, Valuation Concerns. The $152.08 blended target implies -42%, balancing the $116.63 / $153.04 / $185.63 Bear / Base / Bull outcomes.

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